

Article | 11 June 2026

Lagarde keeps the door open for further ECB rate hikes

European Central Bank President Christine Lagarde's comments at the press conference kept the door to further rate hikes open



ECB President Christine Lagarde at today's press conference in Frankfurt, Germany. A second rate hike after today's decision now appears more likely

The ECB has done it. Today, it became the first major central bank to increase interest rates as part of the fight against stagflationary pressures triggered by the war in the Middle East. It opted for a 25bp hike, bringing the deposit interest rate to 2.25%.

To be clear, this rate hike is more of a symbolic move to signal the ECB's willingness and determination to avoid being too late in carrying out its policy response. It's not a rate hike that will derail the eurozone economy, but a decision made with clear communication and reputation in mind; the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates, as suggested by Chief Economist Philip Lane in a recent speech.

More stagflationary pressures in staff projections but no reason for aggressive hikes

During the press conference, ECB President Christine Lagarde mentioned the broadening of inflationary pressures and indirect effects as the main reason for today's rate hike. Still, we can't shake the idea that the ECB is actually fighting ghosts from the past – more

specifically, its reaction that came far too late in responding to the inflation shock in 2021 and 2022. Remember that, at the time, the central bank lingered too long on the idea that an inflation surge driven by supply shocks was 'transitory' and could be looked through. If not for the experience of 2022, "transitory" could well be the label used today. So far, the increase in headline inflation has remained moderate. And while the knock-on effects of higher energy prices on other prices (e.g., transportation and food) will be hard to avoid, the latest survey-based inflation expectations have actually come down slightly.

This relatively well-behaved inflation trajectory is also reflected in the ECB's latest staff projections. Headline inflation is expected to come in at 3.0% this year, 2.3% in 2027 and 2.0% in 2028, slightly up from the March projections. Similar to our own forecasts, ECB staff expect inflation to drop below 2% in the second half of 2027. The GDP growth forecasts come in at 0.8% in 2026, 1.2% in 2027 and 1.5% in 2028, slightly down for 2026 and 2027 compared with the March projections. However, these growth forecasts have not incorporated the recent downward revision of first-quarter growth, meaning that the risk to this growth outlook is even more tilted to the downside than the ECB currently thinks. Overall, this is not a forecast that immediately calls for aggressive rate hikes.

Were there any other signals during the press conference?

During the press conference, Lagarde refuted the phrase 'insurance rate hike', claiming that today's move was nothing of the sort. She did so with almost the same verve with which she rejected the idea of 'stagflationary pressures' as well as the comparisons with 2022 at the April ECB meeting. On a more positive note, it seems as though someone, at least, follows our research. In all seriousness, the comment on the insurance rate hike suggests that today's decision was not a 'one and done' hike but rather a shift of the ECB's starting position.

The warning that inflationary pressures were broadening, as well as the emphasis on broadening indirect effects from higher energy prices, suggest that today's rate hike is not yet the end. However, at the risk of ending up on a blacklist at the ECB, what remains strange is the repetition of data dependency and a meeting-by-meeting approach in the context of the ECB's seemingly clear reaction function. Lagarde's comments on the different macro scenarios added to the confusion, with the ECB President at one point even mentioning rate cuts. Maybe the best description of the central bank's reaction function is what Lagarde herself mentioned during the press conference: "It will be what it will be."

All of this means that a second rate hike after today's decision, either in July or September, has become more likely. Still, as long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock with aggressive rate hikes at the cost of potentially worsening an economic downturn.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.